

SENATE BILL 394

By Rose

AN ACT to amend Tennessee Code Annotated, Title 56,
Chapter 35 and Title 66, relative to real property
transactions.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 56, Chapter 35, Part 1, is amended by
adding the following as a new, appropriately numbered section:

(a) As used in this section:

(1) "Mortgage lender" has the same meaning as defined in § 47-32-102;

(2) "Mortgage loan broker" has the same meaning as defined in § 47-32-
102; and

(3) "Mortgage loan servicer" has the same meaning as defined in § 47-
32-102.

(b) Subject to any right of approval by a mortgage lender, mortgage loan broker,
or mortgage loan servicer, where those persons or entities are involved in a real property
transaction, a purchaser or borrower in a real property transaction in this state has the
exclusive right to select the settlement agent in connection with the transaction. The
selected settlement agent is exclusively authorized:

(1) To provide escrow or closing services in connection with the transfer
of interests in real property or the making of loans secured by interests in real
property;

(2) To act as the issuing title insurance agency;

(3) To perform, or direct the performance of, those functions or
proceedings necessary to clear title for the real property involved in the

transaction in accordance with those underwriting rules and standards prescribed by the title insurance company that the settlement agent represents; and

(4) To produce, or require the production of, any documentation necessary to clear title for the real property involved in the transaction in accordance with those underwriting rules and standards prescribed by the title insurance company that the settlement agent represents.

(c) The seller in a real property transaction in this state shall not:

(1) Require the use of a particular settlement agent by the purchaser in connection to the transaction; or

(2) Condition the performance of any obligation under the contract upon the use of a particular settlement agent by the purchaser.

(d) The provisions in subsections (b) and (c) may not be waived or modified by any party to a transaction.

(e) Notwithstanding this section to the contrary, a seller may retain an attorney licensed pursuant to § 23-1-104 to represent the seller's interests and provide legal advice pertaining to escrow or closing services. Representation must be limited to deed preparation, fee negotiation, review and signing of applicable closing documents, advising the seller on legal matters related to the escrow or closing process, and performing any actions or producing any documentation required by the selected settlement agent necessary for the seller to provide clear and insurable title to the buyer in accordance with those underwriting rules and standards prescribed by the title insurance company that the settlement agent represents. The settlement agent chosen pursuant to subsection (b) shall not collect any fees from a represented seller payable to the settlement agent or its subsidiaries, affiliates, or subcontractors without first obtaining the written consent of the seller's attorney.

SECTION 2. This act takes effect on July 1, 2025, the public welfare requiring it.